

Board Meeting Notes — December 2017

Agenda Item 1: FY2017 Performance Update

CFO presented headline numbers:

Revenue \$2.3M — on track, slightly below \$2.35M stretch target

Margin compressed — Furniture flagged as primary concern

West and East solid; South disappointing; Central improving

Board questions:

Q: 'Why is Tables still loss-making after 2 years?'

A: CFO — supplier costs up, discount culture entrenched, fix in progress

Q: 'When does same-day become profitable?'

A: COO — minimum order threshold being implemented Q1 2018

[Board member comment redacted per legal instruction]

Agenda Item 2: 2018 Budget Approval

Revenue target \$2.5M APPROVED

Capex budget \$380,000 APPROVED (analytics platform \$150K, warehouse upgrades \$230K)

Opex budget: DEFERRED — further detail required on marketing allocation

Key conditions attached to approval:

1. Monthly margin reporting by category (not just overall)
2. Furniture turnaround plan submitted by Jan 31
3. Same-day delivery profitability report by Q2 board

[CFO to circulate revised budget pack by Dec 20]

Agenda Item 3: Strategic Options (CONFIDENTIAL)

Three strategic options presented by external consultants [FIRM NAME REDACTED]:

Option A: Organic growth — invest in digital, maintain current footprint

Option B: Acquisition — acquire regional competitor in South or Central

Option C: International expansion — EU market entry 2019

Board discussion was lively. No decision taken.

Option C (EU) was noted as high risk / high reward — feasibility study commissioned

Option B: One target identified [NAME REDACTED] in South region — due diligence Q1

IMPORTANT: Options B and C are NOT reflected in current Superstore dataset.

Any revenue/product data from potential acquisition or EU operations would be in a DIFFERENT dataset and should not be mixed with current US Superstore figures.

Agenda Item 4: Risk Review

Top risks discussed:

1. Amazon Business — board acknowledges structural threat

Mitigation: Focus on service quality + B2B relationships

2. Supplier concentration — board requested diversification plan

3. IT systems — aging ERP flagged as operational risk

ERP upgrade deferred to 2019 due to cost

4. Key person risk — CFO search ongoing (current CFO retiring Q2 2018)

[ACTION: CEO to present risk mitigation plan at March board]

AOB / Closing Notes

Next board meeting: March 14, 2018

AGM date: May 22, 2018

Board dinner: Dec 20 — details by PA

Meeting closed 18:47

[SCRIBE NOTE: audio recording available but quality poor from 15:00 onwards.

Agenda item 3 discussion may be incomplete in these notes.

Board members should review draft minutes when circulated.]

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